

Centres in a Fragmenting Century



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AT A GLANCE

The world's leading financial centres look more alike than ever before. The latest GFCI puts the top four within a single rating point of each other, Dubai has joined the top ten, and the methodology by which centres compete on technical capability has reached near-saturation. Underneath, however, the political ground is moving in opposite directions.

Three forces drive the divergence. Sanctions enforcement and parallel payment infrastructure are splitting the settlement layer into competing blocs. Stablecoin and tokenisation rules are bifurcating between Washington, Brussels, Hong Kong and Singapore. The AI infrastructure race is concentrating compute, capital and talent in a small number of locations, none of which are traditional financial centres.

The one thing to take into the next meeting: the question is no longer which centre is winning. It is which centres can credibly bridge across the blocs forming around them. Bridge capability is now the binding constraint on centre strategy, asset allocation, and the workable regulatory perimeter. Watch the Gulf cohort as the early indicator.

Executive Synthesis

Which decisions on your desk this quarter still assume a global, integrated capital market?

GFCI 39 puts the top four centres within one rating point of each other; the politics underneath says they answer to different blocs.

The 2026 evidence base shows the world's leading financial centres at maximum technical convergence and maximum political divergence at the same time. The [Global Financial Centres Index 39](#) (Z/Yen Group, March 2026) ranks 120 centres and finds only one rating point separates each of the top four (New York, London, Hong Kong, Singapore); Dubai joins the top ten in seventh place; Amsterdam enters the top twenty. Meanwhile the [IMF Global Financial Stability Report](#) (April 2026) describes "a structural shift as geopolitical fragmentation replaces the post-Cold War era of open capital flows", and the [IMF World Economic Outlook](#) (April 2026) projects 3.1 percent global growth in 2026 against the 2000-2019 average of 3.7 percent, with the MENA region taking a cumulative growth revision of nearly three percentage points. The [European Central Bank](#) (January 2026) treats geoeconomic fragmentation as a primary euro-area financial-stability risk and notes that sanctions efficacy falls as countries bypass Western systems. The two pictures fit together: capability is converging while politics is fragmenting.

Three institutional forces are reshaping the competitiveness map, each on its own clock. **Settlement and payment fragmentation:** [BIS Project Agorá](#) (27 May 2026) moved to real-value testing with eight central banks and over forty financial institutions convened by the IIF; in parallel, BRICS Pay and mBridge are building competing non-Western settlement infrastructure ([Atlantic Council](#), May 2026), with the September 2026 BRICS Summit in New Delhi positioned to advance interoperability proposals. **Stablecoin and tokenisation regulation:** the US [GENIUS Act](#) (signed 18 July 2025, structural anchor) regulates issuers via banking supervisors; the [EU MiCA](#) enforcement deadline of 1 July 2026 ends the soft-launch period with fines up to 12.5 percent of turnover; [Hong Kong's Stablecoins Ordinance](#) (effective 1 August 2025) is awaiting its first licences; Singapore's [Project Guardian](#) has completed over fifteen industry trials covering six currencies and launched the BLOOM standards initiative. **AI infrastructure and talent:** the [Stargate](#) consortium has committed USD 500bn through 2029 (September 2025, structural anchor); [Z/Yen's Smart Centres Index 12](#) (December 2025) puts Zurich, London and Singapore at the top on smart-development capability; agentic AI is moving from pilot to enterprise-wide deployment across banks ([Lloyds Banking Group](#), January 2026; [FIS](#), April 2026). Each force pulls competitiveness up at the technical level and pulls allegiance apart at the political level.

Capability is converging. Allegiance is diverging. The premium accrues to the centres that can bridge across both.

The trap inside the convergence is that GFCI methodology measures capability, not allegiance. As centres converge on technical scores while diverging on which bloc they serve, the binding constraint on centre strategy is shifting from "how do we score better?" to "which other blocs can we credibly bridge to?" The reader-level insight is this: **bridge capability, the ability to serve clients on both sides of a fragmenting financial architecture, is now the single most decision-relevant attribute a centre can build, and the indices that fail to capture it will see their reading power decay.**

Where this analysis could be wrong

The synthesis assumes the convergence-and-divergence pattern persists through the next eighteen months. If a second wave of OFAC secondary sanctions enforcement materially impairs Gulf-cohort bridge capability, for instance through a designation against a DIFC- or ADGM-licensed major bank for Russia or Iran linkages, the bridge thesis weakens and the GFCI reverts to a bloc-pure ranking. Conversely, if Project Agorá advances to live cross-border settlement inside eighteen months across the eight reserve-currency central banks, the convergence force dominates and the bridge premium shrinks because every centre can bridge. The falsifying signals are therefore explicit: either an OFAC designation against a DIFC, ADGM or MAS Riyadh-licensed major bank, or a BIS announcement of Agorá moving to live settlement, would force a material revision of the briefing's lens.

The decisions that cannot be deferred this cycle

1. **Recognise bridge capability as the cycle's binding attribute and re-baseline strategy against it.** Whether you operate a centre, allocate to centres, or set the regulatory perimeter, the next twelve months' positioning is determined by your ability to serve clients on both sides of a fragmenting architecture, not by your rank in the integrated-market index.
2. **Stress-test stablecoin and tokenisation exposure against the four divergent regimes now operational on different timelines.** The 1 July 2026 MiCA enforcement deadline is the hard date; GENIUS, the Hong Kong Stablecoins Ordinance and Project Guardian are operating in parallel; reference-pricing and licensing arbitrage are immediate exposures.
3. **Treat the Gulf cohort as the early-warning indicator for the bridge thesis.** Dubai's seventh place in GFCI 39, Riyadh's forward-looking 54-point cluster and Abu Dhabi's 42-point score together form the most visible test of whether bridge

capability translates into ranking momentum; the next twelve months of sanctions enforcement decisions tell you whether the thesis holds.

Each is developed below, with a decision posture, in the four Strategic Implications.

Reader Snapshots

Four lenses on the same intelligence base, one per reader cohort. Each card surfaces the one question this cycle puts to that audience.

FINANCIAL CENTRE AUTHORITIES

How much of your competitiveness narrative still rests on a methodology that scores technical capability while the political ground drifts?

The shift: GFCI 39 separates the top four centres by one rating point and admits Dubai to the top ten, but the index does not yet score bridge capability, which is now the binding attribute under fragmenting bloc politics.

The question to brief: Which two bridge-capability investments would most materially move your centre's reading next cycle, and which methodology change to the index would surface them?

ASSET OWNERS AND LONG-TERM CAPITAL

Which centres earn an allocation when the "neutral centre" cohort is thinning?

The shift: IMF projects global growth at 3.1 percent for 2026 with a cumulative MENA growth revision of nearly three percentage points; the structural shift toward fragmentation reshapes which centres can credibly host multi-bloc capital.

The question to brief: Are your allocation mandates explicitly evaluating bridge capability as a tier-one attribute alongside legal, tax and infrastructure factors?

BANKS, EXCHANGES AND MARKET INFRASTRUCTURE

Where do you invest in the next settlement layer when the geopolitical perimeter and the technology perimeter no longer coincide?

The shift: BIS Project Agorá moves to real-value testing across eight central banks; JPMorgan's JPMD tokenised deposit is live on the Base public blockchain and phasing onto Canton; Project Guardian's BLOOM initiative is setting cross-currency settlement standards.

The question to brief: How are you sequencing investment across the four regimes (US GENIUS, EU MiCA, HK Ordinance, SG Guardian) over the FY27 horizon?

POLICYMAKERS AND MULTILATERAL BODIES

How do you keep a coherent regulatory perimeter when centres increasingly answer to different blocs?

The shift: The ECB now treats geoeconomic fragmentation as a euro-area financial-stability question; OFAC's EO 14024 framework is the most operationally complex US sanctions programme; MiCA enforcement begins 1 July 2026.

The question to brief: Which two coordination mechanisms (FSB, NGFS, BIS Innovation Hub) are most likely to hold under bloc-formation pressure over the next eighteen months?

Themes

The cycle's signals are organised into five themes, ranked by impact on Z/Yen Group's near-term decisions. **Immediate:** changes the FY27 strategy, the corporate structure or the proposition. **Near-Term:** changes Z/Yen Group's competitive position over the next twelve months. **Longer-Range:** a multi-year structural factor to track and revisit each cycle.

1. Geoeconomics and Financial Fragmentation

IMMEDIATE

The 2026 evidence base shows two clocks running in opposite directions. On the surface, GFCI 39 (Z/Yen Group, March 2026) puts the top four centres within one rating point of each other and admits Dubai to the top ten; on forward-looking competitiveness, Dubai (127), Singapore (109) and Riyadh (54) cluster in the Gulf. Underneath, the IMF, ECB and BIS now treat geoeconomic fragmentation as the dominant force on global capital flows. The decision-

relevant consequence for every reader is that centres are converging on technical capability and diverging on political allegiance at the same time, and the strategy that worked for the integrated-market era is no longer the strategy that fits.

The IMF projects 3.1 percent global growth in 2026, down from a 2000-2019 average of 3.7 percent, citing "growing strains on international order pushing toward a multipolar world" and a cumulative MENA growth revision of nearly three percentage points ([IMF World Economic Outlook](#), April 2026).

The ECB treats geoeconomic fragmentation as a primary euro-area financial-stability risk and notes that sanctions efficacy declines as countries bypass Western systems ([European Central Bank](#), January 2026).

BIS frames policy fragmentation as exacerbating global shocks unless there is coordination on financial regulation, debt management and cross-border capital flows; the 2025 US tariff round is described as "a watershed moment" ([BIS Annual Economic Report](#), June 2025, structural anchor).

BRICS reaffirmed BRICS Pay at its May 2026 ministerial meeting; the September 2026 BRICS Summit in New Delhi is positioned to advance interoperability proposals between national instant payment systems and CBDCs; mBridge had processed over 4,000 transactions worth USD 55.49bn by November 2025 ([Atlantic Council](#), May 2026).

Counter-argument. The fragmentation narrative may overstate the speed and depth of the bloc split. The Atlantic Council itself notes that growing local-currency cross-border payments do not necessarily challenge the dollar's reserve role and that "dedollarization" rhetoric at the 2026 BRICS Summit is expected to remain subdued. OFAC enforcement has been delisting UAE- and Turkey-based entities as well as adding new ones ([Mayer Brown](#), March 2026), suggesting the bloc lines are softer than the headline narrative implies.

Decision link: Strategic Implications [1](#) and [3](#).

2. Future Competitiveness of Global Financial Centres

IMMEDIATE

GFCI 39 (Z/Yen Group, March 2026) is the spine of the cycle's centre-strategy thread. The index's headline finding, that only one rating point separates New York, London, Hong Kong and Singapore, is not a clustering artefact; it is a statement that the methodology has reached

near-saturation in scoring technical capability. The decision-relevant consequence for every reader is that next-cycle differentiation comes from attributes the current methodology does not score: bridge capability, regulatory-regime alignment, and AI-infrastructure deployment.

GFCI 39 evaluates 120 centres; New York leads; only one rating point separates each of the top four; Dubai (7th) and Tokyo join the top ten replacing Chicago and Los Angeles; Amsterdam enters the top twenty replacing Dublin ([Z/Yen Group](#), March 2026; [Long Finance GFCI 39 full report](#), March 2026).

Hong Kong's overall rating rose to 765 (+1), maintaining third place globally and first in Asia Pacific; the gap with New York is two points and with London is one point ([FSDC](#), March 2026; [HKSAR Government](#), March 2026).

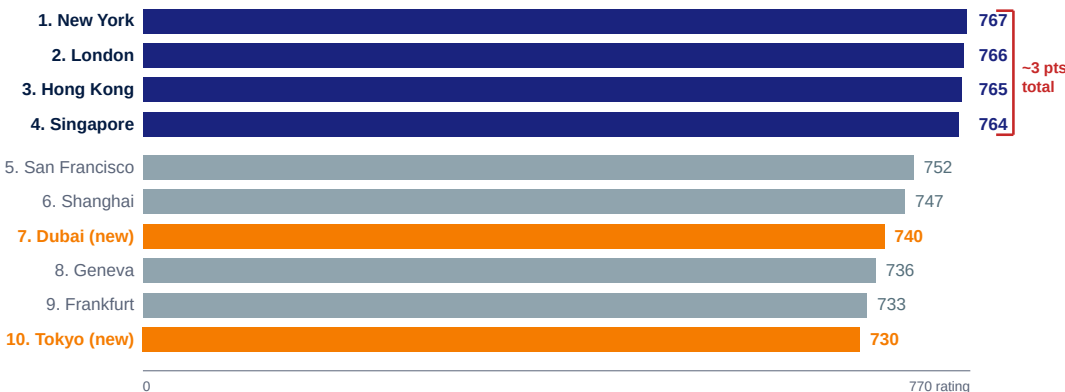
Dubai's seventh place is the highest ever for a centre in the MEASA region; on forward-looking competitiveness Dubai scores 127, Singapore 109, Riyadh 54, Astana 43 and Abu Dhabi 42; DIFC frames the result as on-track for the Dubai Economic Agenda D33 ambition of top four by 2033 ([DIFC](#), March 2026; [The National](#), March 2026).

The UK Government's Financial Services Growth and Competitiveness Strategy (July 2025, structural anchor) frames the "Leeds Reforms" as the most wide-ranging package of regulatory reforms in over a decade; tokenised wholesale markets and a Financial Services Investment Hub targeting GBP 10bn inward investment are the operational responses; the City of London Corporation's MIPIM positioning reinforces the narrative ([HM Treasury](#), July 2025; [City of London Corporation](#), March 2026).

GFCI 39: the top four within one rating point

GFCI 39 - The clustering at the top, March 2026

Only one rating point separates each of the top four centres.



Bars are illustrative; the 1-point spread across the top four (and exact 765 figure for Hong Kong) is from the GFCI 39 press release ([Z/Yen](#), March 2026). Sub-top-four ratings are approximate, drawn from the press release framing of relative position; the precise per-centre ratings outside the top four are in the full GFCI 39 report. Dubai and Tokyo are the new entrants to the top 10, replacing Chicago and Los Angeles.

Counter-argument. The one-rating-point clustering at the top may itself be the meaningful finding rather than a methodology artefact. Concentrated capital, regulatory clarity, deep talent markets and stable institutional infrastructure remain the binding centre attributes; bridge capability is a derivative of these, not a replacement. A reader who reduces GFCI to "bridge or perish" risks underweighting the structural attributes (talent, capital, regulation) that actually drive index movement.

Decision link: Strategic Implications [1](#) and [2](#).

3. Distributed Futures and Financial System Transformation

NEAR-TERM

2026 is the year the future settlement architecture of finance becomes operationally visible. BIS Project Agorá moved to real-value testing on 27 May 2026; JPMorgan's JPMD tokenised deposit is live on the Base public blockchain and phasing onto Canton; the EU MiCA enforcement deadline of 1 July 2026 ends the soft-launch period; Hong Kong's Stablecoins Ordinance has been operational since August 2025; Project Guardian's BLOOM standards work continues. Four regulatory regimes and one cross-border tokenisation initiative are running in parallel. The decision-relevant consequence for every reader is that "tokenisation" is no longer a single category to position for; it is four divergent regimes that must be positioned for simultaneously.

BIS Project Agorá demonstrated atomic multi-currency settlement of wholesale cross-border payments through tokenising central bank reserves and commercial bank deposits, and will advance to real-value testing; eight central banks (five major reserve currencies) and over forty financial institutions convened by the IIF ([BIS press release](#), 27 May 2026; [BIS full report](#), 27 May 2026).

The US GENIUS Act regulates payment-stablecoin issuers via banking supervisors and the OCC; payment stablecoins are not securities or commodities; 1:1 reserves required in physical currency, US treasury bills, repos or other approved assets ([White House](#), July 2025, structural anchor; [Sidley Austin](#), July 2025).

ESMA's 1 July 2026 deadline ends MiCA's transitional grace period; fines up to 12.5 percent of turnover on unauthorised crypto-asset service providers in EU markets; reserve-asset and redemption rules enforced ([ESMA](#), reference page).

Hong Kong's Stablecoins Ordinance has been in operation since 1 August 2025 with first licences expected Q1 2026; Singapore's Project Guardian has completed over fifteen industry trials covering six currencies; the BLOOM initiative (launched October 2025) is establishing settlement standards for tokenised bank liabilities and regulated stablecoins ([HKMA](#), July 2025; [MAS Project Guardian](#), reference page).

JPMorgan's JPMD tokenised deposit launched November 2025 on the Base public blockchain (Coinbase Layer 2) for institutional users; phased rollout onto the Canton Network through 2026; use cases include tokenised money market fund redemption, round-the-clock cross-border payments and on-chain collateral ([Future of Finance](#), March 2026).

The four-regime calendar: stablecoin and tokenisation milestones, 2025-2026

Four regimes, one calendar

Each row is a regulatory regime. Diamonds are events, red diamonds are hard enforcement deadlines.



Sources: GENIUS Act (White House, July 2025); MiCA enforcement deadline (ESMA reference page); EU AI Act (EU 2024/1689); Hong Kong Stablecoins Ordinance (HKMA, July 2025); Project Guardian BLOOM and SGD CBDC (MAS); JPMD (Future of Finance, March 2026); Project Agora (BIS, May 2026). Red diamonds are hard regulatory enforcement deadlines; green diamonds are framework go-lives; blue and purple are operational milestones.

Counter-argument. The four-regime picture overstates the durability of the divergence. The regulatory regimes are converging on the same underlying principles: 1:1 reserves, segregated assets, redemption guarantees, AML/KYC, authorised-issuer-only operation. A bank that builds to the strictest regime (EU MiCA) is over-compliant for the others. The real question is which regime offers the best commercial path, not how to bridge across all four; reading the cycle as four-regime fragmentation may misallocate compliance investment.

Decision link: Strategic Implications 2 and 3.

4. Smart Centres and AI Economies

NEAR-TERM

The AI infrastructure race is geographically concentrating compute, capital and talent in a small number of locations, and almost none of those locations are top-of-table financial centres. The decision-relevant consequence is that financial centres face a new competitiveness axis (AI-infrastructure proximity and integration) that current GFCI and SCI methodologies only partially score, and that the agentic-AI transformation of financial services is now operationally visible enough to begin measuring inside the centre-competitiveness conversation.

The Stargate consortium (OpenAI, Oracle, SoftBank, MGX) has committed USD 500bn through 2029 across roughly 10 GW of AI data centre capacity; five new sites announced September 2025 plus Abilene flagship plus the June 2026 Michigan launch (USD 16bn initial, USD 30 to 40bn additional for GPUs and networking) ([OpenAI](#), September 2025; [CNBC](#), 1 June 2026).

Z/Yen's Smart Centres Index 12 (December 2025) puts Zurich first with London and Singapore overtaking San Francisco for second and third; London's rating rose 19 points from May 2025, missing first place by 3 points; SCI 13 was published 28 May 2026 ([Z/Yen SCI 12](#), December 2025; [Z/Yen SCI 13](#), May 2026).

Agentic AI is moving from pilot to enterprise-wide deployment across financial services: Lloyds Banking Group has framed 2026 as "the year of agentic AI"; FIS has partnered with Anthropic on financial-crimes use cases; vendor data suggests 50 of the world's largest banks announced over 160 agentic AI use cases in 2025 and more than 70 percent of banking firms are using agentic AI in some form ([Lloyds Banking Group](#), January 2026; [FIS](#), April 2026; [Salesforce](#), February 2026, treat directionally).

Counter-argument. The proximity-to-compute thesis is weak. AI infrastructure value capture is in models and applications rather than in data centres themselves; centres do not need to host Stargate-scale infrastructure to lead in financial AI. They need clean data, talent, regulatory clarity and venture capital. The risk for centre policymakers is over-investing in data-centre subsidies based on a misread of where value accrues.

Decision link: Strategic Implication 4.

5. Green Finance and Climate Transition

LONGER-RANGE

The 2026 evidence base shows the EU and US moving in opposite directions on corporate climate disclosure within a single quarter of each other. The EU Omnibus I (24 February 2026) narrowed but preserved CSRD and CS3D; the SEC formally proposed rescinding the 2024 climate disclosure rules in May 2026. The decision-relevant consequence is that the transatlantic regulatory perimeter for sustainability is now bifurcated, and the GGFI 17 framework with its China Construction Bank sponsorship repositions Chinese centres as a third pole in a triadic green finance map.

CCB Global Green Finance Index 17 (23 April 2026) evaluates 92 financial centres on green finance offerings; CCB is now the lead sponsor (index renamed); supplement on "Energy Storage, the Missing Piece of the Net-Zero Puzzle" anchors the operational technology question ([Z/Yen and Long Finance GGFI 17](#), April 2026).

The EU Council adopted Omnibus I final text on 24 February 2026 (entered force 18 March 2026); CSRD scope narrowed to firms with 1,000+ employees and EUR 450m+ turnover; CS3D scope narrowed to 5,000+ employees and EUR 1.5bn+; first compliance for FY beginning on or after 1 January 2027; CS3D transposition deadline pushed to 26 July 2028 with first compliance July 2029 ([Council of the EU](#), February 2026; [White and Case](#), February 2026).

The US SEC formally proposed rescinding the 2024 climate disclosure rules in May 2026 through notice-and-comment rulemaking, deepening the US retreat from federal corporate climate transparency ([SEC fact sheet](#), May 2026; [Sierra Club](#), May 2026).

NGFS Phase V scenarios and first short-term scenarios (May 2025, structural anchor) frame the climate-financial-risk question for central banks; the "Diverging realities" scenario projects Africa GDP losses up to 12.5 percent under severe weather plus limited policy action ([NGFS](#), May 2025; [OMFIF](#), June 2025; [Green Central Banking](#), May 2025).

Counter-argument. The transatlantic divergence may be overstated. White and Case characterise Omnibus I as "simplified, not abandoned"; CS3D remains operational on the 2028 to 2029 timeline; the SEC formal proposal is not yet enacted and may face Eighth Circuit review. The cycle's framing as a binary US/EU divergence understates the practical reality that large corporates straddling both markets will continue to disclose under the stricter regime to avoid investor pressure.

Decision link: Strategic Implication [4](#).

Strategic Implications

Four decisions turn this cycle's signals into the FY27 strategy. Each names the move, a horizon and a decision posture.

SI 1: Re-baseline strategy against bridge capability as the cycle's binding attribute

Centre authorities, asset owners, market infrastructure operators and policymakers should treat bridge capability, the ability to serve clients on both sides of a fragmenting financial architecture, as the cycle's binding centre-strategy attribute. The implication is that next-twelve-months decisions taken under the assumption of a globally integrated capital market will misprice the actual risk-and-opportunity surface. The Decide posture reflects that GFCI 39's one-rating-point clustering at the top is now binding evidence the differentiator is shifting away from the integrated-market methodology, and waiting for the methodology to catch up cedes positioning advantage to those who act first.

Action: by 30 September 2026, each centre authority publishes a "bridge capability self-assessment" alongside its GFCI submission, naming three specific cross-bloc client populations served and three bridge investments planned for FY27. Asset owners attach a parallel bridge-capability scorecard to their centre allocation framework by the same date.

DECIDE

Draws on Themes 1 and 2

SI 2: Stress-test stablecoin and tokenisation exposure against the four divergent regimes

Banks, exchanges, market-infrastructure operators and asset managers should explicitly stress-test their stablecoin and tokenisation exposure against the four regimes now operational on different timelines: US GENIUS (1:1 reserves via banking supervisors), EU MiCA (1 July 2026 hard deadline with fines up to 12.5 percent of turnover), Hong Kong (Ordinance operational since 1 August 2025), and Singapore (Project Guardian BLOOM standards). The Prepare posture reflects that the regimes are now known but the operational responses (licensing strategy, regulatory-arbitrage architecture, custody and reserve build-out) are six- to eighteen-month workstreams.

Action: by 31 December 2026, each major bank, exchange or market-infrastructure provider publishes a regime-mapping document for its leadership team identifying its primary regulatory pathway across the four regimes and the specific custody and reserve architecture committed to each, with named accountable executives and quarterly review cadence.

PREPARE

Draws on Themes 1 and 3

SI 3: Treat the Gulf cohort as the early-warning indicator for the bridge thesis

Centre authorities, regulators, asset owners and policymakers should treat Dubai, Riyadh and Abu Dhabi (and, on a different axis, Astana) as the live test case for whether bridge capability translates into ranking momentum through sanctions enforcement and AI-infrastructure positioning. Dubai's seventh place in GFCI 39, Riyadh's forward-looking 54-point cluster and Abu Dhabi's 42-point score together form the most visible test. The Prepare posture reflects that the next twelve months of OFAC enforcement decisions involving DIFC-, ADGM- or MAS Riyadh-licensed entities will reveal whether the Gulf cohort can hold its bridge position or whether secondary sanctions reshape it.

Action: by 30 June 2027, asset owners and centre policymakers publish a quarterly tracker of Gulf-cohort regulatory and sanctions-enforcement events that materially affect bridge capability, with named decision-triggers for re-baselining centre allocations and regulatory equivalence positions.

PREPARE

Draws on Themes 1, 2 and 5

SI 4: Position deliberately within the triadic green-finance and AI-infrastructure maps

Centres, asset owners, regulators and policymakers should treat the green-finance and AI-infrastructure maps as triadic (EU-stricter / US-rolling-back / China-anchored for green; US-concentrated / European-distributed / Asian-emergent for AI infrastructure) rather than as bilateral US-versus-everyone-else maps. The Monitor posture reflects that the three poles are operational but their interaction with the bridge-capability cycle and with sanctions enforcement is the binding question for the next twelve to twenty-four months. The trigger to escalate to Prepare is either the SEC final rescission of the 2024 climate disclosure rules, or a Stargate-scale AI infrastructure commitment landing in a European or Asian financial-centre jurisdiction.

Action: by 31 March 2027, leadership across centres, asset owners and regulators publish a one-page position naming which of the three poles their organisation's primary alignment runs through, plus two bridge mechanisms (mutual reliance, equivalence, cross-recognition or shared methodology) committed for FY27.

MONITOR

Draws on Themes 4 and 5

Scenario Matrix

Two critical uncertainties define the operating space for the next eighteen months: how fast geopolitical fragmentation hardens into bloc-aligned financial architecture (vertical axis), and how fast the tokenised settlement layer (Agorá, JPMD, regional regimes) converges into a common technical fabric (horizontal axis).

The Bridge Premium

High fragmentation, high settlement-layer convergence. Sanctions enforcement hardens, BRICS Pay and mBridge become real, yet Project Agorá advances to live cross-border settlement and the four regulatory regimes (GENIUS, MiCA, HK, SG) inter-operate through tokenised infrastructure. In this world the bridge centres (Dubai, Singapore, Geneva, Riyadh and, on its own terms, London) command an outright premium because they are the only locations that can serve clients on both sides of the bloc divide. GFCI methodology evolves to score bridge capability explicitly.

Early indicators: BIS announces Agorá live cross-border settlement inside eighteen months; DIFC publishes a bridge-capability self-assessment; Z/Yen GFCI methodology adds a bridge-capability factor.

The Bloc Pure

High fragmentation, low settlement-layer convergence. Sanctions enforcement hardens, BRICS Pay and mBridge advance, but Project Agorá stalls in real-value testing and the four regulatory regimes remain operationally divergent. Centres are forced to declare bloc alignment; bridge capability becomes harder to maintain because the technical fabric is splitting too. Hong Kong's bridge position weakens further; Singapore positions as Asia's non-aligned centre; Dubai and Riyadh hedge.

Early indicators: OFAC designates a DIFC-, ADGM- or MAS Riyadh-licensed major bank; BIS delays Agorá live settlement past 2028; MiCA enforcement triggers EU-only stablecoin issuance migration.

The Integrated Future

Low fragmentation, high settlement-layer convergence. Geopolitical heat cools, sanctions enforcement softens, Project Agorá rolls out across eight reserve-currency central banks, and the four regulatory regimes converge on common reserve and redemption rules. In this world the bridge premium shrinks because everyone can bridge; centre competitiveness reverts to traditional GFCI attributes (talent, capital, regulation, infrastructure) and the indices recover their reading power without methodology change.

Early indicators: FSB publishes a unified stablecoin framework adopted by US, EU, HK and SG; Agorá goes live across multiple corridors; sanctions enforcement tempo declines materially.

The Slow Normalisation

Low fragmentation, low settlement-layer convergence. Geopolitical heat cools but settlement-layer modernisation stalls. Centres compete on familiar attributes; the four regulatory regimes coexist without converging; tokenisation remains pilot-stage at most major banks. In this world GFCI methodology continues to read centres well; the briefing's central thesis (bridge capability as binding attribute) weakens because politics is no longer the dominant force; AI infrastructure becomes the next binding competitiveness axis.

Early indicators: US/Russia and US/China relations materially normalise; Project Agorá stays in extended testing past 2027; major bank tokenised-deposit programmes stall at MVP.

What We Are Not Planning For

The cycle deliberately excludes three plausible-but-signal-thin developments. If the evidence base on any of them strengthens, the briefing's lens would require revision.

A unilateral US extraterritorial action that targets a major bridge centre at the institutional level

The current evidence base shows OFAC enforcement targeting specific entities (banks, traders, exchanges) within centres rather than centres-as-institutions. A unilateral US move against DIFC, MAS or ADGM as jurisdictions, rather than against named licensed entities, would invalidate the bridge-cohort thesis inside twelve months. The briefing treats this as a tail risk to monitor through SI 3 rather than a working assumption.

A retail-CBDC mass deployment in any G7 centre on a timeline that beats wholesale tokenised settlement

Retail CBDC progress in the US is politically constrained, in the UK is paused, and in the EU is distant. The cycle's settlement-layer story is wholesale-first (Agorá, JPMD, BLOOM) and a retail-CBDC surprise would not change the bridge-capability calculus materially over the eighteen-month horizon.

A formal multilateral climate-disclosure deal that re-aligns the bifurcated rulebook

The triadic divergence (EU-stricter, US-rolling-back, China-anchored via GGFI 17) is the working hypothesis. A coordination shock through a UNFCCC- or FSB-led harmonisation would be a different briefing. The current evidence base shows no such initiative on the September 2026 or April 2027 multilateral calendars.

Discussion Points for the Reader

1. If GFCI methodology cannot score bridge capability directly, what should the next iteration of the index measure, and is there a separate "Bridge Capability Index" that should sit alongside GFCI and GGFI?
2. For asset owners with global mandates: how should you reposition allocations currently held against the "neutral centre" cohort, given that the neutral cohort is thinning?

- 3. For banks and exchanges: what is the practical decision rule for choosing between the GENIUS Act and MiCA as your primary stablecoin pathway, and which of the four regimes do you treat as the binding ceiling on architecture choices?
- 4. For centre authorities: are the four operational regulatory regimes (US, EU, HK, SG) actually four, or are Hong Kong and Singapore converging fast enough to be treated as one under a single Asian framework?
- 5. Which of the four scenarios in the matrix would most invalidate your organisation's current FY27 strategy, and is the early-indicator set you monitor today wide enough to catch the inflection inside three to six months?

Source Confidence Register

This briefing draws on 39 sources gathered through a six-month-recency horizon scan (cycle date 2 June 2026; recency window back to 2 December 2025). The tier mix is 14 Tier 1 sources (IMF, BIS, ECB, ESMA, MAS, HKMA, SEC, NGFS, Council of the EU, HM Treasury, White House), 4 Tier 2 (Atlantic Council, OMFIF, White and Case, Sidley Austin), 11 Tier 3 (quality trade press and specialist legal/policy publishers), and 10 Tier 4 (Z/Yen's own GFCI 39, SCI 12, SCI 13 and GGFI 17 reports, plus focal-vendor materials from OpenAI, JPMorgan, FIS, Salesforce and Lloyds Banking Group). Nine sources are flagged as structural anchors (publications outside the six-month window but binding institutional references). Every source URL was verified at the time of compilation; date_source and date_evidence fields in sources.json document how each publication date was captured.

Theme 1: Geoeconomics and Financial Fragmentation

Source	Tier	Date	Role
IMF Global Financial Stability Report	Tier 1	2026-04-14	Headline fragmentation thesis
IMF World Economic Outlook	Tier 1	2026-04-14	Growth-revision quantification
ECB Financial stability risks from geoeconomic fragmentation	Tier 1	2026-01-31	Euro-area framing
BIS Annual Economic Report 2025 (structural anchor)	Tier 1	2025-06-29	Policy-coordination anchor

Atlantic Council: local-currency payments	Tier 2	2026-05-22	BRICS Pay framing
Mayer Brown sanctions update	Tier 3	2026-03-31	OFAC enforcement read
Sanction Scanner OFAC EO 14024 guide	Tier 3	2026-04-10	Compliance-side detail
Modern Diplomacy on BRICS Payment Settlement	Tier 3	2026-01-29	BRICS infrastructure detail

Theme 2: Future Competitiveness of Global Financial Centres

Source	Tier	Date	Role
Z/Yen GFCI 39 press release	Tier 4	2026-03-26	Focal-company anchor
Long Finance GFCI 39 full report	Tier 4	2026-03-26	Granular GFCI data
FSDC Hong Kong response on GFCI 39	Tier 3	2026-03-26	Hong Kong framing
DIFC press release on GFCI 39	Tier 4	2026-03-26	Dubai centre-authority framing
The National (UAE) on Dubai	Tier 3	2026-03-26	Gulf cohort quantification
HKSAR Government release on GFCI 39	Tier 3	2026-03-26	Hong Kong sovereign framing
HM Treasury FS Growth and Competitiveness Strategy (structural anchor)	Tier 1	2025-07-15	UK policy anchor
City of London Corporation MIPIM	Tier 3	2026-03-09	London centre-authority framing

Theme 3: Distributed Futures and Financial System Transformation

Source	Tier	Date	Role
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BIS Project Agorá press release	Tier 1	2026-05-27	Settlement-layer milestone
BIS Project Agorá full report	Tier 1	2026-05-27	Technical anchor
White House Fact Sheet on GENIUS Act (structural anchor)	Tier 1	2025-07-18	US regulatory anchor
ESMA MiCA reference page	Tier 1	(evergreen)	EU enforcement deadline anchor
HKMA Stablecoins Ordinance (structural anchor)	Tier 1	2025-07-29	Hong Kong regulatory anchor
MAS Project Guardian reference page	Tier 1	(evergreen)	Singapore tokenisation anchor
Future of Finance on JPMorgan JPMD	Tier 3	2026-03-12	Bank-side proof-point
Sidley Austin GENIUS Act analysis (structural anchor)	Tier 2	2025-07-22	Legal-perimeter anchor

Theme 4: Smart Centres and AI Economies

Source	Tier	Date	Role
Z/Yen Smart Centres Index 13	Tier 4	2026-05-28	Focal-company SCI anchor
Z/Yen Smart Centres Index 12	Tier 4	2025-12-04	Prior-cycle SCI data
OpenAI Stargate five-sites announcement (structural anchor)	Tier 4	2025-09-23	Compute-build anchor
CNBC Stargate Michigan	Tier 3	2026-06-01	Stargate operational milestone
Lloyds Banking Group on agentic AI	Tier 4	2026-01-14	Bank-side framing

FIS press release on Anthropic partnership	Tier 4	2026-04-22	Vendor-side agentic AI proof
Salesforce on agentic AI (directional)	Tier 4	2026-02-18	Adoption-statistics framing

Theme 5: Green Finance and Climate Transition

Source	Tier	Date	Role
Z/Yen CCB GGFI 17	Tier 4	2026-04-23	Focal-company anchor
Council of the EU Omnibus I press release	Tier 1	2026-02-24	EU policy anchor
White and Case on Omnibus I	Tier 2	2026-02-26	Practitioner counterpoint
SEC Fact Sheet on rescission	Tier 1	2026-05-15	US policy anchor
Sierra Club press release	Tier 3	2026-05-15	Counter-argument anchor
NGFS Phase V scenarios (structural anchor)	Tier 1	2025-05-22	Central-bank climate reference
OMFIF on NGFS short-term scenarios (structural anchor)	Tier 2	2025-06-18	Think-tank analysis companion
Green Central Banking on NGFS (structural anchor)	Tier 3	2025-05-15	Specialist-press companion

Claim-fidelity self-disclosure

The briefing's analytical lens (capability converging, allegiance diverging, bridge capability as the binding attribute) is the analyst's framing of the evidence base, not a direct quotation from any single source. Where Z/Yen's GFCI 39, SCI 12 and GGFI 17 are cited, the claims are faithful summaries of the published reports; the analyst's framing of those products as evidence of "near-saturation" in scoring technical capability is an extrapolation from the one-rating-point clustering

finding, not a Z/Yen claim. Where the BIS, IMF, ECB and SEC sources are cited, the claims are paraphrased from the documents listed in `sources.json`. Two vendor sources (Salesforce on agentic AI adoption, Lloyds Banking Group on "2026 the year of agentic AI") are flagged in `sources.json` for directional reading because the framing carries commercial incentive. No source is being treated as verbatim quotation other than the CNBC quote ("people are right to be anxious") which appears once in the Smart Centres theme. Two structural anchors outside the six-month window (BIS AER 2025, GENIUS Act White House fact sheet 2025) are used because they are the binding institutional baselines; their use is flagged in `sources.json` via the `is_structural_anchor` field. No statistic in the briefing has been generated by the analyst; every quantitative claim traces to a named source.